ADMINISTRATIVE SERVICES DEPARTMENT

City of South Gate

Budget Reductions and Service Impacts

Where we stand, how we got here, and what changed operationally

August 2026

Agenda

What the Council will hear tonight

01 **How We Got Here**

Where City revenue comes from and what drove costs up

02 **Citywide Reductions**

What Council directed and how the reduction target was divided

03 **Resident Service Impacts**

What residents will experience across all departments

04 **Questions and Discussion**

Time reserved at the end for Council questions

SECTION 01

How We Got Here

Revenue structure, cost growth, and the decisions that followed

Where City Money Comes From

South Gate does not control most of the taxes residents pay

PROPERTY TAX

6.15¢

of every property tax dollar stays with the City. The rest goes to Los Angeles County, school districts, and special districts.

SALES TAX

2.00%

of taxable sales stays with the City, or $2 of every $100 spent. The full rate charged in South Gate is 10.75%.

UTILITY USERS TAX

None

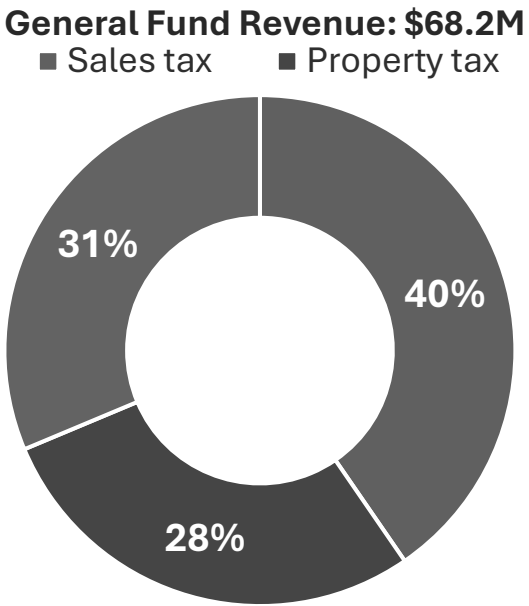
South Gate does not levy a utility users tax. Most neighboring cities do, as the next slide shows.

Most City services are paid for out of a small share of the taxes residents already pay.

Where the Money Comes From

South Gate's revenue is concentrated in two places.

About seven of every ten General Fund dollars come from just two taxes — 68.8% of the FY 2026-27 adopted budget.



Sales tax $27.5M · 40%

Two separate one-percent taxes: $13.6M Bradley-Burns and $14.0M Measure P.

Property tax $19.4M · 28%

Roughly three-quarters arrives as a state payment that replaced vehicle license fees. The City keeps only about 6¢ of every basic property tax dollar.

Everything else $21.3M · 31%

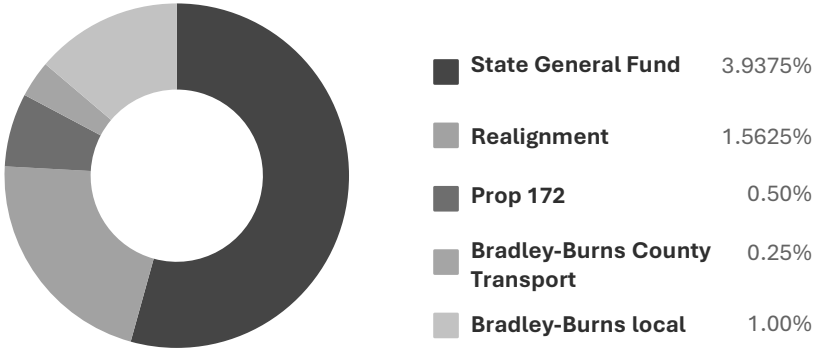
Business license tax, franchise fees, hotel tax, permits, fines, rents and internal charges.

Two taxes fund 68.8% of the budget. Sales tax is the first revenue to fall in a recession. That concentration is the City's single largest revenue risk.

South Gate's Two Sales Taxes

South Gate collects two one-percent local sales taxes.

The chart shows the statewide 7.25% base rate. District transactions and use taxes sit on top of it, including South Gate's Measure P, bringing the combined rate to 10.75%.



Note: the chart shows the 7.25% statewide base only. District taxes, including Measure P, are additional. Amounts are FY 2026-27 adopted.

Bradley-Burns local 1.00% · $13.6 million

Goes to the city where the sale happens: the store, the dealership, the warehouse. If a retailer closes or moves out of South Gate, this revenue leaves with it.

Measure P Tax 1% (2008) · $14.0 million

Voter-approved and tied to the delivery address. Online purchases delivered to a South Gate address generally generate Measure P revenue even when the seller is somewhere else.

At 10.75%, South Gate is at the maximum combined sales tax rate state law allows in Los Angeles County. There is no room to add sales tax to close a General Fund gap.

Property Tax Breakdown

Of every property tax dollar, the City keeps 6.15 cents.

On the County's allocation the City appears as "Tax District #1." Shares below are of $1.00 of property tax collected in South Gate.

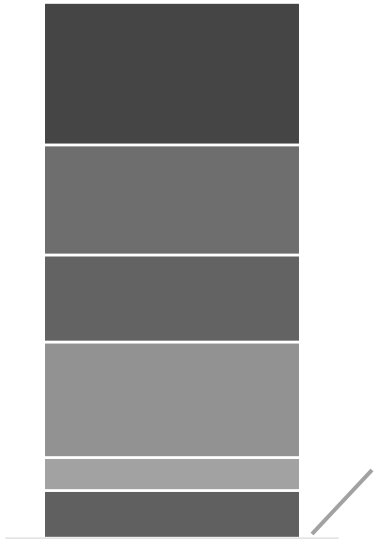
$0.0615

of every property tax dollar stays with the City of South Gate.

Why this matters

Rising property values move the City's share only about six cents on the dollar. The other 94 cents funds the County, schools, and special districts — the City cannot redirect it.

Every $1.00 of property tax



$1.00 of property tax

Los Angeles County	**$0.2658**
Los Angeles Unified School District	**$0.2058**
LA Consolidated Fire District	**$0.1624**
Educational augmentation funds	**$0.2154**
City of South Gate (Tax District #1)	**$0.0615**
Community college, library, other districts	**$0.0891**

General vs. Restricted Resources

Which South Gate dollars are actually flexible?

Unrestricted resources

Can be used for any lawful public purpose, subject to Council budget approval. This is the money the Council actually allocates each year.

Examples

- Property tax
- Bradley-Burns sales tax
- Measure P sales tax
- Business license tax
- Franchise fees
- Hotel tax
- Investment earnings
- The charges the City makes to its own utilities for administrative support and building leases.

Restricted resources

Limited by law or contract to a specific purpose, service, project, or group of payers. The Council cannot redirect these dollars.

Examples

- Gas tax and road maintenance funds
- Measure R and Measure M transportation Propositions A and C transit
- Measure W stormwater and Measure A parks
- Street lighting and landscaping assessments
- asset forfeiture
- Federal and state grants
- Water, sewer, and refuse rates
- Developer impact fees
- Bond proceeds

Grants (restricted revenue) are a bigger share of South Gate's money.

FY 2024-25 audited statements: grant revenue now outpaces both major tax sources.

44% Grants

23% Sales tax

15% Property tax

Eligibility

Grant dollars pay only for costs eligible under that specific award — set by the grant agreement, not by local need.

Matching and maintenance of effort

Many awards require a local match or a commitment to sustain existing spending. Both consume General Fund capacity for years.

Procurement

Federal awards impose their own procurement standards. Local purchasing compliance is not automatically federal compliance.

Single Audit

$19.1M in federal awards expended in FY 2024-25 — a federal compliance audit is an annual certainty, not a contingency. The threshold is $1M beginning FY 2025-26.

Before accepting a grant, ask: what does it require us to spend, for how long, and what happens to the program and the staff when it ends?

How Neighboring Cities Fund Services

2026 SERVICE & TAX SURVEY

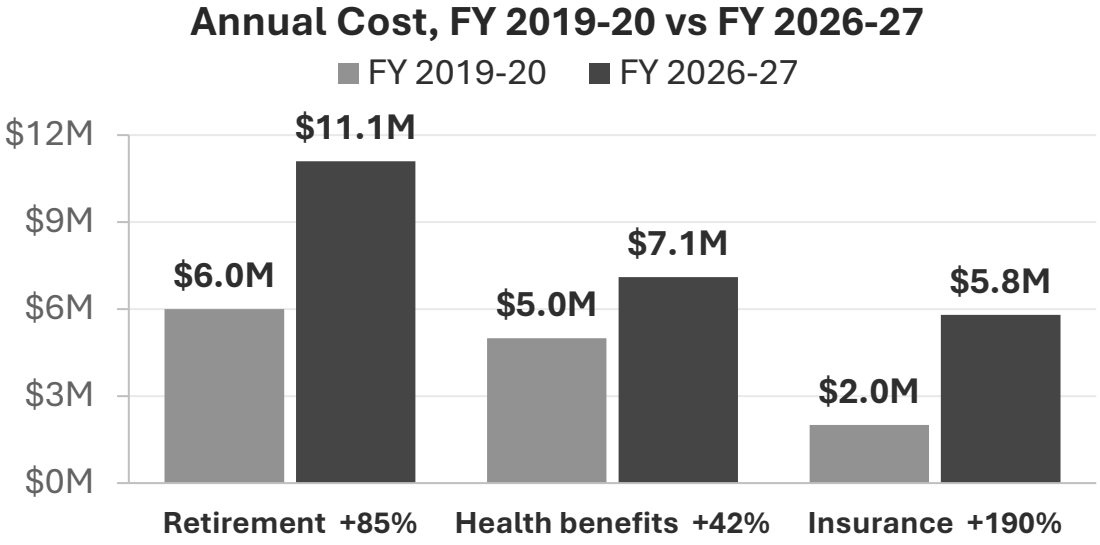
FOR ILLUSTRATIVE PURPOSES ONLY (NON-AUDITED NUMBERS)

					RATES			DOLLARS				
City	2026 Population	Total GF Revenue	Total Sales Tax Rate	Property Tax Share (%)	UUT Tax Rate	Cannabis Tax Rate	Local Sales Tax Measure	Total Sales Tax (mil)	Cannabis Tax (mil)	UUT (mil)	Special Assessments (mil)	Pension Tax (mil)
Bellflower	76,203	$ 55,108,800	10.50%	6.66%	5.00%	8.50%	0.75%	16.46	3.69	4.03	0.04	0.00
Carson	91,790	$ 155,259,564	10.50%	6.74%	2.00%	18.00%	1.00%	59.05	0.00	11.50	0.96	0.00
Downey	112,279	$ 116,224,088	10.50%	14.53%	5.00%	0.00%	0.75%	29.01	0.00	8.75	3.07	0.00
Gardena	61,187	$ 89,009,149	10.50%	11.32%	5.00%	0.00%	0.75%	29.23	0.00	6.90	0.94	0.00
Huntington Park	52,961	$ 42,912,900	10.50%	7.35%	9.75%	0.00%	1.00%	14.75	0.00	6.80	2.00	9.00
Lynwood	66,901	$ 44,243,060	10.75%	11.30%	9.00%	5.00%	1.00%	13.66	1.00	5.51	1.16	5.84
Norwalk	101,453	$ 78,695,362	10.50%	9.24%	5.50%	0.00%	0.75%	24.96	0.00	6.18	0.00	0.00
Paramount	52,353	$ 47,149,238	10.50%	6.72%	5.50%	0.00%	0.75%	18.74	0.00	5.00	0.00	0.00
Pico Rivera	60,966	$ 61,737,080	10.75%	8.79%	4.50%	0.00%	1.00%	26.94	0.00	4.26	2.36	0.00
Whittier	88,029	$ 106,309,000	10.50%	7.24%	5.00%	0.00%	0.75%	30.33	0.00	8.50	0.55	0.00
Bell	33,211	$ 20,484,746	10.75%	7.38%	10.00%	0.00%	1.00%	3.88	0.00	4.13	0.42	4.63
Cudahy	22,234	$ 14,407,950	10.50%	6.59%	8.00%	15.00%	0.75%	2.74	0.25	1.67	0.07	0.00
Santa Fe Springs	19,229	$ 98,527,347	11.00%	6.37%	5.00%	0.00%	1.25%	57.00	0.00	8.94	0.25	0.00
Monterey Park	59,649	$ 74,133,326	10.50%	15.83%	3.00%	0.00%	0.75%	19.40	0.00	3.93	1.07	12.45
Maywood	24,448	$ 12,929,999	9.75%	6.63%	4.00%	10.00%	0.00%	2.34	1.65	1.50	0.20	1.30
South Gate	93,467	$ 68,913,744	10.75%	6.15%	0.00%	0.00%	1.00%	29.63	0.00	0.00	2.00	0.00

How We Got Here

Costs grew faster than revenue, for six years running.

None of what follows is about waste or a single bad decision. These are cost increases the City does not set and cannot decline to pay.



Federal relief ran out

$34.5 million in pandemic relief carried operating costs for several years. That money is spent — the costs it covered did not go away.

What has already been cut

$9.3 million in reductions over two budget years, decreasing budgeted positions from 348 to 312. $2.25 million of reserves was used to close FY 2026-27.

These are the drivers behind most of that gap — and none of them are optional. That is what the word “structural” means.

What Is Driving Our Costs

Four drivers we can name and quantify — and four more that compound every year

Cost category	FY 2019-20	FY 2026-27	Increase
Unfunded pension liability	$6,054,025	$11,091,668	$5,037,643
Health insurance	$4,989,613	$7,103,874	$2,114,261
Workers' compensation and general liability	$1,896,531	$5,798,931	$3,902,400
Street lighting and landscaping subsidy	$627,436	$1,072,407	$444,971
Total	**$13,567,605**	**$25,066,880**	**$11,499,275**

THE COSTS YOU DON'T SEE

- **CPI escalators in contracts**
  Annual inflation adjustments built in.
- **Energy, fuel, and utilities**
  Prices outpace general inflation.
- **Software and subscriptions**
  Renewals rise 5 to 15 percent.
- **State and federal mandates**
  New compliance adds staff time.

These four categories added $11.5 million a year since FY 2019-20. General Fund revenue did not keep pace.

The Financial Reality

Ongoing costs exceed ongoing revenues

$9.4M

FY 2026-27 structural gap identified in the October 2025 forecast

$1.52M

Budget Stabilization Reserve remaining, down from $3.77M

$13.0M

Emergency Reserve, policy compliant and left untouched

- The deficit is structural. Ongoing costs exceed ongoing revenues, so the gap returns every year.
- One-time solutions are nearly exhausted. ARPA funds are spent and reserve capacity is limited.
- The FY 2026-27 budget is technically balanced but not structurally balanced.

With no new ongoing revenue in place, service reductions took effect July 1, 2026.

SECTION 02

Citywide Reductions

What Council directed and how it was divided

April 2026: Council Direction

Reductions took effect July 1, 2026 and continue every year after

In April 2026, the City Council directed $9.4 million in ongoing service reductions to close the General Fund gap without new revenue. The reductions were built into the FY 2026-27 adopted budget and took effect July 1, 2026.

Positions eliminated	Budgeted positions fell across City Hall, public safety, parks, and public works.
Programs eliminated, not paused	Special events and school crossing guards were among the programs ended.
Service levels reduced	Response times increased and service availability decreased across multiple departments.
Reductions are ongoing	These are permanent base budget reductions, not one-year savings.

How the $9 Million in Cuts Was Divided

These were the budget reduction targets departments received

Department	Reduction
Police	$3.44M
Parks and Recreation	$2.31M
Public Works	$1.27M
Community Development	$1.16M
Administrative Services	$0.42M
Human Resources	**$0.27M**
Administration and other	$0.46M
Citywide total	**$9.33M**

Resident Impact Highlights

Service-Level Impacts Across All Departments

PUBLIC SAFETY & INFRASTRUCTURE

Police Department | Public Works

Police Department

- Emergency response time rises from 4:35 to over 6 minutes; officer wait times exceed 1 hour
- Nuisance and quality-of-life calls no longer answered; investigations take longer
- Crossing guards eliminated at 37 sites; crime prevention program ends; Records Bureau hours cut

Public Works

- Graffiti removal ends Fridays and weekends; response extends from 24 hours to one week
- Street tree trimming cycle extends from 4 to 5 years; streetlight crew reduced to five
- Enhanced park maintenance program eliminated; CIP projects delayed

COMMUNITY & CITY SERVICES

Parks & Recreation | Community Development | Administration

Parks & Recreation

- Pool open 8 months instead of year-round; golf course closed Mondays and Tuesdays
- Cultural Arts Division eliminated; excursions cut from 9 to 6; park lighting dark Nov 20 - Mar 31

Community Development

- Permit processing slows from 30-60 days to 90-150 days; large projects to 18 months
- Code enforcement response slows from 3 days to 10 days

City Manager's Office & Human Resources

- Front counter and passport services eliminated; no state or federal representation
- Community events reduced; Risk Manager position eliminated

Questions and Discussion

Thank you

Rob Houston, City Manager
Luis Frausto, Director of Administrative Services

City of South Gate